

D081

Innovative and Strategic Thinking

Armored Drill

8 concepts · 12 items · 4 transfer items

What this is. Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

Source. Scope from the course's public description in the WGU Institutional Catalog (September 2026); items written from the field's standard body of knowledge. No WGU assessment item, course material or proprietary content is used or reproduced. Not affiliated with or endorsed by Western Governors University.

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How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

Target word _____	The one fact that decides _____	Answer _____	[] sure [] unsure [] guess
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Items

1.

A regional bakery chain with 14 stores, run by the same family since 1982, is doing a SWOT analysis. A new state law will soon require calorie labels on all baked goods sold in chain stores. Where does this belong?

- A. Weakness.
- B. Threat.
- C. It does not belong in SWOT, because laws are outside management's control.
- D. Strength, because the family has run it since 1982.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

2. [TRANSFER — reversed stem / different variable]

Which of these would be listed as a strength in a company's SWOT analysis?

- A. A rival's recent product recall.
- B. Rising consumer demand for the product category.
- C. A patented process that cuts production cost by 20%.
- D. A shortage of skilled engineers on staff.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

3.

A taxi company with a fleet of 300 new hybrid cars sees ride-hailing apps and e-scooter rentals taking trips in its city. The company's drivers recently got a new union contract. In Five Forces terms, the e-scooter rentals are best described as what?

- A. Supplier power.
- B. Rivalry among existing competitors.
- C. Buyer power.
- D. Threat of substitutes.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

4. [TRANSFER — reversed stem / different variable]

Which change would reduce buyer power in an industry?

- A.** Products become more differentiated and switching costs rise.
- B.** A few large customers now make up most sales.
- C.** A key raw-material supplier merges with its main rival.
- D.** Price comparison websites make every seller's price visible.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

5.

A furniture maker sells handcrafted, custom-sized tables at prices 40% above the market average. Its workshop sits in a historic brick building and employs 25 craftspeople. Customers pay the premium because no mass-market brand offers the same design and fit. Which strategy is the firm following?

- A.** Cost leadership.
- B.** Stuck in the middle.
- C.** Differentiation.
- D.** A heritage strategy based on its historic building.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

6.

A logistics firm with offices in six states owns route-planning software built in-house over ten years using its own delivery data. Rivals cannot buy it, and rebuilding it would take years of data they do not have. The firm has a dedicated team that uses it daily. What does VRIO say about this resource?

- A.** It is only an advantage if the firm expands beyond six states.
- B.** It gives only temporary advantage, because software can always be copied.
- C.** It gives competitive parity, because rivals also have software.
- D.** It can be a source of sustained competitive advantage.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

7.

A startup sells a simple \$15-a-month accounting app to freelancers who never bought accounting software. Industry leaders, whose products cost \$600 a year and serve large firms, say the app lacks key features. The startup raised money from three well-known investors. What kind of innovation is this?

- A. Sustaining innovation.
- B. Not innovation, because it has fewer features than existing products.
- C. Disruptive, because famous investors backed it.
- D. Disruptive innovation.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

8.

A manufacturer is considering a \$100,000 automation upgrade that will save \$60,000 in cash each year for two years. The plant manager, a 20-year veteran, strongly supports it. The company's required return is 10%. What is the project's NPV, and should it proceed?

- A. \$120,000; proceed.
- B. About -\$4,132; reject.
- C. About \$4,132; proceed.
- D. \$20,000; proceed.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

9.

A retailer with a popular loyalty program faces a 20% chance of a data breach costing \$500,000 this year. A security upgrade costs \$60,000 and would cut the chance to 5%. The IT director recently earned a security certification. Based on expected loss, what should the retailer do?

- A. Buy the upgrade; total expected cost falls from \$100,000 to \$85,000.
- B. Skip it; a 20% chance means a breach will probably not happen.
- C. Skip it; \$60,000 is more than the \$25,000 expected loss that remains.
- D. Buy it; the \$500,000 impact is too big to accept at any price.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

10. [TRANSFER — reversed stem / different variable]

A risk register lists an event with a \$200,000 impact and an expected loss of \$30,000. What probability was assigned to the event?

- A. 85%
- B. 15%
- C. 30%
- D. 6.7%

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

11.

A hospital system launching a patient-experience strategy is building a balanced scorecard. The board chair, a retired banker, wants the scorecard printed in color. Which measure belongs in the learning and growth perspective?

- A. Operating margin.
- B. Percentage of nurses who completed communication training.
- C. Average emergency-room wait time.
- D. Patient satisfaction scores.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

12. [TRANSFER — reversed stem / different variable]

A project costs \$50,000 today and returns \$55,000 one year from now. At what discount rate is its NPV exactly zero?

- A. 10%
- B. \$5,000
- C. 9.1%
- D. 0%, because NPV is zero only when there is no gain.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

STOP

Answers and dissection follow. Finish every item and every strip first.

Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

1. Answer B Concept 1

A regional bakery chain ~~with 14 stores, run by the same family since 1982,~~ is doing a SWOT analysis. A new state law will soon require calorie labels on all baked goods sold in chain stores. Where does this belong?

Target word: classify a factor in SWOT **Decides:** A new law comes from outside the firm.

A	Adjacent category	Weaknesses are internal; the firm did not create the law.
B	Correct	An external change that adds cost or burden is a threat.
C	Inverted operation	Outside factors are exactly what opportunities and threats capture.
D	Camouflage	Company history does not decide where the law belongs.

2. Answer C Concept 1 · transfer

Which of these would be listed as a strength in a company's SWOT analysis?

Target word: reverse: pick the item that fits the category **Decides:** A strength is internal and favorable.

A	Confusion set	External event; at most an opportunity.
B	Adjacent category	Favorable but external — an opportunity.
C	Correct	An owned, internal capability that helps the firm.
D	Inverted operation	Internal but unfavorable — a weakness.

3. Answer D Concept 2

A taxi company ~~with a fleet of 300 new hybrid cars~~ sees ride-hailing apps and e-scooter rentals taking trips in its city. ~~The company's drivers recently got a new union contract.~~ In Five Forces terms, the e-scooter rentals are best described as what?

Target word: classify a force **Decides:** E-scooters meet the same need (getting across town) with a different product.

A	Camouflage	Points at the union contract, which does not decide the classification.
B	Confusion set	Rivals sell the same kind of service, such as other taxi firms.
C	Adjacent category	Buyer power is customers' leverage over price, not an alternative product.
D	Correct	A different product that serves the same customer need.

4. Answer A Concept 2 · transfer

Which change would reduce buyer power in an industry?

Target word: reverse: find the change that weakens a force **Decides:** Buyer power falls when switching is costly or products are unique.

A	Correct	Buyers lose leverage when alternatives are not equal and switching is costly.
B	Inverted operation	Concentrated buyers have more power.
C	Adjacent category	That changes supplier power, not buyer power.
D	Inverted operation	Better information strengthens buyers.

5. Answer C Concept 3

A furniture maker sells handcrafted, custom-sized tables at prices 40% above the market average. ~~Its workshop sits in a historic brick building and employs 25 craftspeople.~~ Customers pay the premium because no mass-market brand offers the same design and fit. Which strategy is the firm following?

Target word: name the generic strategy **Decides:** Customers pay a premium for unique value.

A	Inverted operation	Cost leaders win on low cost and price, the opposite of a 40% premium.
B	Adjacent category	The firm has a clear basis for winning; it is not straddling strategies.
C	Correct	Unique features that customers value support premium prices.
D	Camouflage	The building is scenery; the basis of advantage is the unique product.

6. Answer D Concept 4

A logistics firm ~~with offices in six states~~ owns route-planning software built in-house over ten years using its own delivery data. Rivals cannot buy it, and rebuilding it would take years of data they do not have. The firm has a dedicated team that uses it daily. What does VRIO say about this resource?

Target word: VRIO verdict **Decides:** Valuable, rare, costly to imitate, and organized: all four present.

A	Camouflage	Office count does not affect the VRIO test.
B	Absolute language	The stem says rivals lack the data and years needed; it is costly to imitate.
C	Dropped element	Ignores that this particular resource is rare and hard to imitate.
D	Correct	It passes all four VRIO tests.

7. Answer D Concept 5

A startup sells a simple \$15-a-month accounting app to freelancers who never bought accounting software. Industry leaders, whose products cost \$600 a year and serve large firms, say the app lacks key features. ~~The startup raised money from three well-known investors.~~ What kind of innovation is this?

Target word: classify the innovation **Decides:** Cheaper, simpler product for non-consumers that incumbents dismiss.

A	Confusion set	Sustaining innovation improves products for existing, demanding customers.
B	Inverted operation	Fewer features at lower cost is the hallmark of disruption.
C	Camouflage	Funding source does not define disruption.
D	Correct	It starts at the low end with non-customers and can later move upmarket.

8. Answer C Concept 6

A manufacturer is considering a \$100,000 automation upgrade that will save \$60,000 in cash each year for two years. ~~The plant manager, a 20-year veteran, strongly supports it.~~ The company's required return is 10%. What is the project's NPV, and should it proceed?

Target word: NPV and decision **Decides:** Discount each year's \$60,000 at 10%.

A	Wrong stem number	Total undiscounted savings, not NPV.
B	Inverted operation	Subtracts in the wrong direction.
C	Correct	$\$60,000/1.10 + \$60,000/1.21 = \$54,545 + \$49,587 = \$104,132$; minus \$100,000 = \$4,132.
D	Dropped element	Adds undiscounted savings (\$120,000) and ignores the time value of money.

9. Answer A Concept 7

A retailer with a popular loyalty program faces a 20% chance of a data breach costing \$500,000 this year. A security upgrade costs \$60,000 and would cut the chance to 5%. ~~The IT director recently earned a security certification.~~ Based on expected loss, what should the retailer do?

Target word: compare expected loss with and without mitigation **Decides:** Expected loss falls from \$100,000 to \$25,000 for a \$60,000 cost.

A	Correct	$0.20 \times \$500,000 = \$100,000$; $0.05 \times \$500,000 + \$60,000 = \$85,000$.
B	Absolute language	Ignores expected value; a likely-not event can still carry large expected cost.
C	Dropped element	Compares cost with the remaining loss instead of the \$75,000 reduction.
D	Adjacent category	Reacts to impact alone; the decision rests on probability $\times$ impact versus cost.

10. Answer B Concept 7 · transfer

A risk register lists an event with a \$200,000 impact and an expected loss of \$30,000. What probability was assigned to the event?

Target word: solve for probability **Decides:** Probability = expected loss $\div$ impact.

A	Confusion set	That is the chance the event does not happen.
B	Correct	$\$30,000 / \$200,000 = 0.15$.
C	Wrong stem number	Reads the expected-loss figure as a percentage.
D	Inverted operation	Divides the wrong way (and misreads the result).

11. Answer B Concept 8

A hospital system launching a patient-experience strategy is building a balanced scorecard. ~~The board chair, a retired banker, wants the scorecard printed in color.~~ Which measure belongs in the learning and growth perspective?

Target word: place a measure in a perspective **Decides:** Learning and growth covers people, skills and systems.

A	Camouflage	Pulled by the banker detail; margin is the financial perspective.
B	Correct	Employee capability is the learning and growth perspective.
C	Confusion set	That is an internal process measure.
D	Adjacent category	That is the customer perspective.

12. Answer A Concept 6 · transfer

A project costs \$50,000 today and returns \$55,000 one year from now. At what discount rate is its NPV exactly zero?

Target word: solve for the rate (IRR) **Decides:** $\$55,000 / (1 + r) = \$50,000$.

A	Correct	$\$55,000 / 1.10 = \$50,000$, so NPV = 0 at 10%.
B	Adjacent category	That is the undiscounted gain, not a rate.
C	Inverted operation	$\$5,000 / \$55,000$ divides the gain by the future amount instead of the investment.
D	Absolute language	NPV is zero at the rate that equals the project's return.

Triage grid

Write each item number in the box it belongs to.

	Right	Wrong
Sure	Owled.	Concept inversion — top priority. A wrong mental model; it survives rewording.
Unsure / guess	Recognition, not mastery. Re-drill with the transfer.	Not learned yet.

Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

Trap	What it does	In this drill	Your misses
Dropped element	Leaves out a required term or step.	3	
Wrong stem number	A figure copied from the prompt that is not the answer.	2	
Adjacent category	The right idea in the wrong bucket.	8	
Inverted operation	Direction flipped: add/subtract, cause/effect, higher/lower.	9	
Absolute language	Always, never, guarantee — where judgment applies.	3	
Confusion set	Every option is real; the test is exact role-matching.	5	
Camouflage	Answers a stem fact that was never the question.	6	

Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

#	Concept	Rule	Trap	Tell
1	SWOT: internal vs. external	Strengths and weaknesses are internal and controllable; opportunities and threats come from the outside environment.	Filing an outside trend as a strength or an internal gap as a threat.	Ask whether the firm owns or controls the factor.
2	Porter's Five Forces	Industry profitability is shaped by rivalry, threat of new entrants, threat of substitutes, buyer power and supplier power; stronger forces mean lower average profits.	Confusing a substitute (different product, same need) with a direct rival.	A change in who can enter, who else meets the need, or who holds bargaining leverage.
3	Generic competitive strategies	Firms win by cost leadership, differentiation, or a focus on a narrow segment using either; trying to do all at once risks being stuck in the middle.	Thinking a low price alone is a cost-leadership strategy without the lowest cost structure.	How the firm wins customers: lowest cost, unique value, or a niche.
4	VRIO and sustained advantage	A resource yields sustained advantage only if it is valuable, rare, costly to imitate, and the firm is organized to use it.	Treating any valuable resource as a lasting advantage.	A resource that rivals could or could not easily copy or buy.
5	Disruptive vs. sustaining innovation	Sustaining innovation improves products for existing demanding customers; disruptive innovation starts simpler and cheaper in low-end or new markets, then moves up.	Calling any breakthrough technology disruptive.	A cheaper, 'good enough' offering that incumbents dismiss.
6	Net present value for strategic investments	Discount each future cash flow to today and subtract the investment; accept projects with positive NPV.	Adding up undiscounted cash flows and comparing them to cost.	An upfront cost, yearly cash flows and a required rate of return.
7	Risk exposure and response	Expected loss = probability × impact; spend on mitigation when it reduces expected loss by more than it costs. Responses are avoid, mitigate, transfer or accept.	Reacting to the size of the impact alone, or calling insurance mitigation.	A probability, a dollar impact and a control cost.
8	Balanced scorecard	Strategy execution is tracked across four linked perspectives: financial, customer, internal process, and learning and growth.	Measuring only financial results, which lag behind the drivers of strategy.	A request to pick a measure for a named perspective.

Course scope (public description): This course covers an important part of being a business professional: the knowledge and skills used in building and implementing business strategy. The course helps students build on previously acquired competencies in the areas of management, innovative thinking, and risk management while introducing them to the concepts and theories underpinning business strategy as a general business perspective. The course will help students gain skills in analyzing different business environments and in using quantitative literacy and data analysis in business strategy development and implementation. This course helps to provide students with a generalist overview of the area of business strategy.